EXECUTIVE SUMMARY

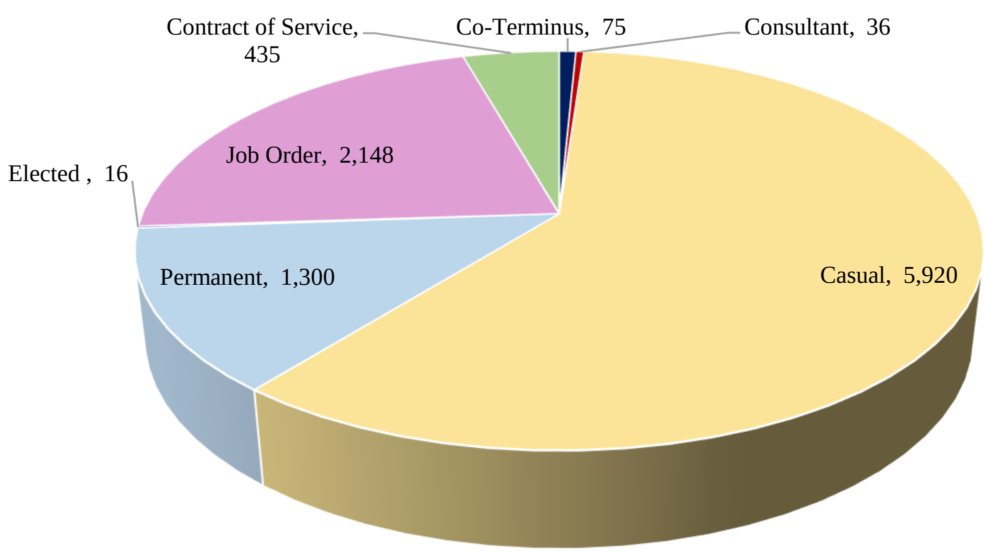
A. Introduction

The City of Pasig envisions itself as a healthy, livable and sustainable Green City and a model of urban development. It reveals its aspirations on its functional role in national development and on different aspects in the City's growth and progress as a highly urbanized community.

The Local Chief Executive, together with the Sangguniang Panlungsod is responsible in ensuring that the City's vision is carried out during their term of office and the implementation adequately controlled in order to fulfill the City Government's mandate to promote the general welfare of its citizenry. The general welfare goals are as follows:

- Preservation and enrichment of culture;
- Promotion of health and safety;
- Enhancement of the right of the people to a balanced ecology;
- Development of appropriate and self-reliant scientific and technological capabilities;
- Improvement of public morals and gender responsiveness;
- Enhancement of economic prosperity and social justice;
- Promotion of full employment among its constituents;
- Maintenance of peace and order; and
- Preservation of comfort and convenience of its inhabitants.

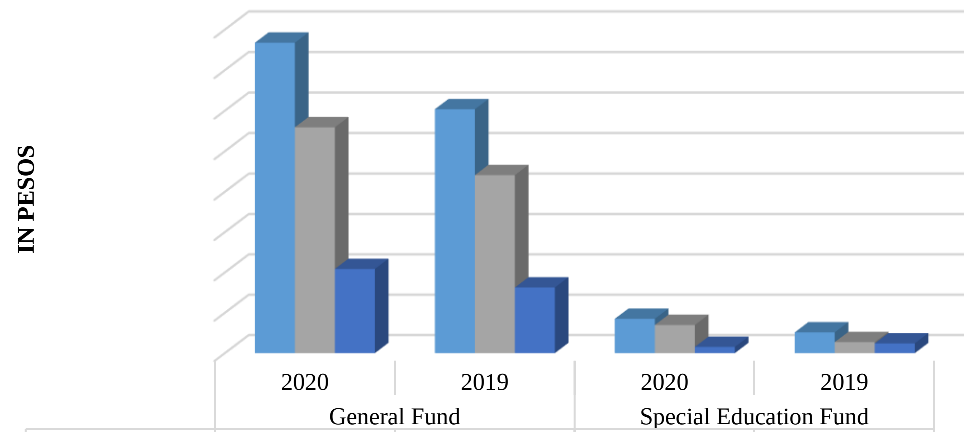
The City is headed by Mayor Victor Ma. Regis N. Sotto, with its Vice Mayor and 14 Councilors. It has one representative in the Congress of the Philippines. It has a total personnel complement of 9,930 consisting of the following:



B. Financial Highlights

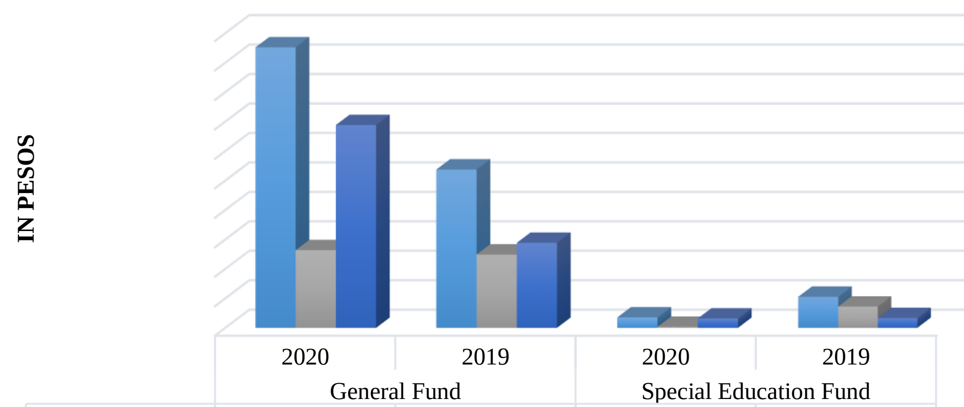
The following graphs illustrate the City's current and continuing appropriations, obligations, and balances for calendar years (CYs) 2019 and 2020:

Current Appropriations



	General Fund 2020	General Fund 2019	Special Education Fund 2020	Special Education Fund 2019
Appropriations	15,351,414,457	12,071,249,371	1,702,056,000	1,030,000,000
Obligations	11,180,269,458	8,819,565,299	1,394,079,440	548,201,149
Balances	4,171,145,000	3,251,684,072	307,976,560	481,798,851

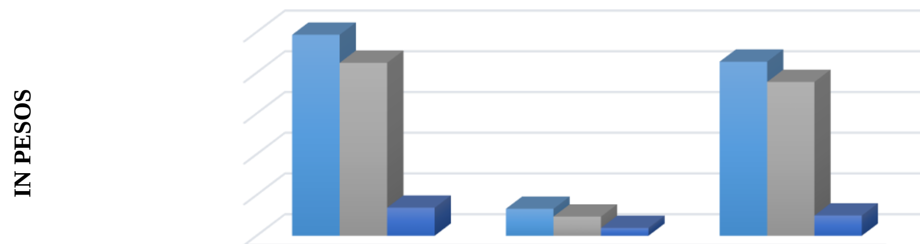
Continuing Appropriations



	General Fund 2020	General Fund 2019	Special Education Fund 2020	Special Education Fund 2019
Appropriations	1,904,279,330	1,074,987,695	70,756,489	211,089,414
Obligations	527,225,106	497,773,028	7,190,167	144,627,843
Balances	1,377,054,223	577,214,667	63,566,322	66,461,571

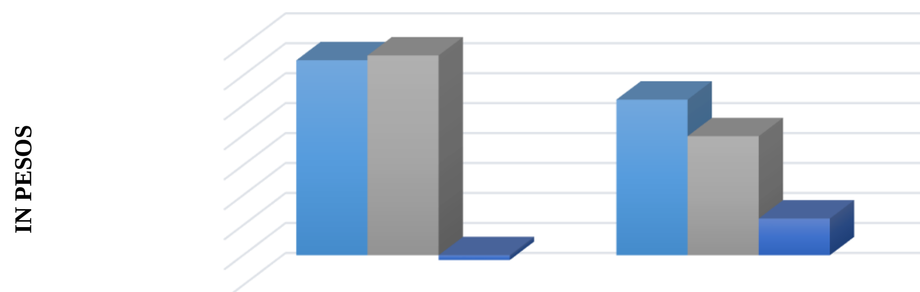
The City's Financial Position and Financial Performance for CYs 2019 and 2020 showing the increase/decrease in the assets, liabilities, government equity, revenue and expenses are illustrated in the succeeding graphs:

Statement of Financial Position



	Assets	Liabilities	Government Equity
2020	49,341,122,235	6,609,238,089	42,731,884,146
2019 (As Restated)	42,456,930,993	4,696,095,854	37,760,835,139
Increase (Decrease)	6,884,191,242	1,913,142,235	4,971,049,007

Statement of Financial Performance



	Revenue	Expenses
2020	13,018,604,605	10,388,802,620
2019 (As Restated)	13,338,425,592	7,941,453,467
Increase (Decrease)	(319,820,987)	2,447,349,153

C. Operational Highlights

The major accomplishments of the City for CY 2020 are as follows:

1. **Coronavirus Disease (COVID-19) Response -** The City created the Task Force Beat COVID-19 and enjoined all the officials and personnel in addressing the medical emergency.

   - The City Epidemiology and Surveillance Unit (CESU) was reinforced with more nurses, contact tracers, and equipment such as computers, and mobile phones, and other logistical needs.

   - The Rizal High School was converted into a community quarantine facility that housed COVID-19 positive patients, while the Pasig City Children's Hospital was used as the Pasig City COVID-19 Referral Facility to treat COVID-19 patients. The City set-up the Pasig City Molecular Laboratory for various laboratory exams for suspected and COVID-19 positive patients.

- The City distributed food packs during the Enhanced Community Quarantine (ECQ) and augmented funds for the National Social Amelioration Program (SAP) through the Pasig Supplemental SAP to provide additional financial aids to Pasigueño families. Various projects were implemented to address the immediate needs of the residents such as, the Tulong at Pampuhunang Ayuda sa Taga-Pasig (TAPAT), Mobile Palengke, Community Mart, Community Kitchen, Libreng Sakay, and Bike Distribution Program for frontline workers.

2. **Kalusugang Pangkalahatan -** Health Centers became the call and referral center at the community level.

3. **Edukasyon para sa Pasigueño -** The City, thru the Local School Board, provided learning gadgets for all Kindergarten to Grade 12 students to aid them in the distance learning modality program of the Department of Education (DepEd). Various equipment were distributed as follows: 77,000 tablets for elementary school students, 63,000 tablets for junior high school students and 5,220 laptops for senior high school students and teachers.

4. **Abot Kamay na Serbisyong Panlipunan -** The City established the Social Welfare Assistance Center (SWAC) for medical, financial, and hospital assistance to the Pasigueños and Project Damayan for casket and funeral services.

5. **Tapat at Mahusay na Lingkod Bayan** - The City's personnel who had been in the service for a long time as job order employees were promoted to casual positions, and those with casual appointments that met the minimum qualification standards were granted permanent items.

D. Scope and Objective of Audit

The audit covered the accounts and operations of the City of Pasig for the period January 1 to December 31, 2020. The audit was conducted in accordance with International Standards of Supreme Audit Institutions (ISSAI) to (a) verify the level of reliance that may be placed on Management's assertions on the financial statements; (b) determine the extent of compliance with applicable laws, rules and regulations; (c) recommend agency improvement opportunities; and (d) ascertain the extent of implementation of prior years' audit recommendations.

E. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of presentation of the financial statements due to the deficiencies noted in audit that materially affected the balances of certain accounts, which are discussed in detail in Part II of the report and summarized as follows:

1. The existence of the City's Property, Plant and Equipment (PPE) and the accuracy of the PPE account balances totaling P24.483 billion could not be ascertained due to: (a) incomplete physical inventory count by the Inventory Committee; (b) non-reconciliation of the Report on the Physical Count of PPE (RPCPPE) with the City Accounting Office (CAO) records; and (c) incomplete maintenance of Real Property Ledger Cards (RPLC), PPE Ledger Cards (PPELC) and Property Cards (PC) contrary to COA rules and regulations casting doubt on the reliability of the reported balances of the PPE accounts in the financial statements as of December 31, 2020.

   We reiterated our prior year's recommendations that Management direct:

   a. The Office of the General Services (OGS) to –

      - Expedite the completion of the physical count of all properties owned by the City;

      - Prepare a reliable RPCPPE for all PPE accounts in accordance with the prescribed format indicating the complete details, such as the property description, condition, balances per card, balances on hand per count and other relevant information;

      - Submit the RPCPPE to the CAO to facilitate reconciliation of the records, and to adjust the identified discrepancies to arrive at the correct PPE balances;

      - Submit RPCPPE to COA in the prescribed format, complete with all the details not later than January 31 of each year pursuant to the Manual on the New Government Accounting System (MNGAS) for Local Government Units (LGUs);

      - Provide details/breakdown for the PPE items reported in the summary report totaling P230,717,503, and for the noted discrepancy in the Land account amounting to P421,446,231;

      - Avoid using phrases like first partial, proposed construction, payment for the cost of materials and labor, etc. in describing the infrastructure assets in the RPCPPE-Particulars column;

- Maintain copies of Deeds of Absolute Sale and Tax Declaration of Real Property to serve as permanent files supporting the PPE accounts in RPCPPE;

- Coordinate with the concerned office to facilitate the transfer of the parcels of land which are not yet registered in the name of the City; and

- Maintain a complete file of Property Cards for each PPE category as listed in the accounting records, and ensure that the balances therein agree with RPCPPE and book balances.

b. The CAO to –

- Facilitate reconciliation of PPE balances in the General Ledger against the reported balances in the RPCPPE and provide the necessary adjustments for the variance noted in audit in the amount of P8,327,394,733;

- Conduct periodic reconciliation of the balances of PPE accounts in PPELCs/RPLCs and PCs on a regular basis; and

- Maintain updated PPE and Real Property Ledger Cards for each class of PPE complete with proper description/details.

c. Henceforth, the OGS and CAO to comply with COA Circular 2020-006 dated January 31, 2020, for the one time cleansing of the PPE accounts.

2. The balances of Inventories accounts aggregating to P3.114 billion as of December 31, 2020, remained unreliable due to: (a) non-preparation of a complete Report on the Physical Count of Inventories (RPCI); (b) incomplete maintenance of Supplies Ledger Cards (SLCs) and Stock Cards (SCs); and (c) presence of dormant balances in the SLCs which is not in conformity with the provisions of the MNGAS for LGUs.

We recommended that:

a. The OGS –

- Submit immediately to COA the duly approved consolidated/final RPCI as of December 31, 2020;

- Prepare Stock Cards for all items of inventories and facilitate reconciliation with the SLCs of the CAO;

- Regularly submit the SSMI together with RIS to the CAO for the timely recording of the issuances of the inventories in the books;

- Comply with the requirement of the MNGAS on the conduct of physical count of inventory items by type semestrally and submit the RPCI to the Auditor not later than July 31 and January 31 of each year for the first and second semesters, respectively; and

- Monitor the distribution of goods to the end-users to ensure that the received goods tally with the distribution list and the issuances recorded in SSMI;

b. The CAO –

- Prepare and maintain SLC for each inventory item for all funds indicating the complete information including the corresponding expense account and ensure that the balances reconcile with the GL;

- Review the SLCs for inventory accounts with non-moving items and make the appropriate adjustments, if warranted;

- Coordinate with the OGS for the reconciliation of the SLCs and SCs on a regular basis; and

- Properly classify expenses according to nature and use to fairly present the accounts in the financial statements.

F. Significant Audit Observations and Recommendations

1. The Accounts Payable (A/P) and Other Payables (O/P) account balances as of December 31, 2020, included payables that remained outstanding from two to five years amounting to P178.712 million and P16.376 million, respectively, which is not in conformity with Section 98 of PD No. 1445, hence, the validity and propriety of the balances could not be ascertained.

   We recommended that Management instruct the CAO to -

   - Investigate the liabilities without valid/actual claims or found not legitimate which remain dormant/unpaid for two years or more, prepare the corresponding journal entry voucher and revert to the unappropriated surplus of the general fund pursuant to Section 98 of PD No. 1445;

   - Prepare the aging of Other Payables account to identify the balances which remain outstanding for two years and more; and

   - Prepare and maintain subsidiary ledgers for all payable accounts which were reverted to the general fund for monitoring purpose and future reference in case actual claims will be filed by the respective creditors.

2. The reported balance of the Investment Property, Buildings (IPB) account as of December 31, 2020, was overstated by P14.762 million due to: (a) the erroneous recording of depreciation in the amount of P4.193 million; and (b) the double recording of an IPB item amounting to P10.568 million which is inconsistent with the provisions of COA Circular No. 2015-009 dated December 1, 2015, and the International Public Sector Accounting Standards (IPSAS) 1 and 16.

   We recommended that Management direct the CAO to –

   - Reclassify the depreciation totaling P4,193,047 to Accumulated Depreciation–Investment Property, Buildings account;

   - Prepare the necessary adjustment for the overstatement of P10,568,724 in the Investment Property, Buildings account and understatement of the same amount in the Other Land Improvements account; and

   - Reconcile the balances in the SL and LS for the Investment Property, Buildings account in order to provide accurate depreciation for all IPB items pursuant to Paragraph 65 of IPSAS 16.

3. The correctness of the Construction in Progress (CIP) accounts with a total year-end balance of P1.660 billion could not be ascertained due to the: (a) non-transfer of the accumulated CIP balances to the respective PPE accounts in the amount of P163.544 million; (b) non-reclassification of completed infrastructure projects to PPE account costing P16.168 million; (c) overstatement of CIP-Buildings by P32.188 million, CIP-Infrastructure Assets – P99.959 million and Accounts Payable by P132.146 million due to erroneous computation of year-end set up of payables and (d) incomplete maintenance of CIP Ledger Cards, all contrary to the provisions of the MNGAS for LGUs, Vol. I, COA Circular No. 2015–009 dated December 01, 2015, and IPSAS 17, resulting in unreliable CIP account balances.

   We recommended that Management instruct the CAO to -

   - Identify and locate the records of the projects implemented during CYs 2016 to 2018 which are still in the CIP accounts;

   - Prioritize the transfer of completed projects By Administration and include the accompanying labor costs and other attributable costs for supplies and materials issued to the respective infrastructure projects;

   - Reclassify the completed project, Proposed Pasig City Hall Building Security Plan Pasig City Hall to Buildings account and record the Accumulated Depreciation;

   - Recompute the balance of payables due to contractors, adjust the CIP and Accounts Payable accounts for the noted projects; and

- Closely monitor the CIP account and maintain updated CIP Ledger Cards pursuant to the provisions of the MNGAS.

4. The Cash in Bank–Local Currency, Current Account (LCCA) and Cash in Bank–Local Currency, Savings Account (LCSA) balances per books in the amounts of P3.008 billion and P483.842 million, respectively, as of December 31, 2020, were understated by P5.845 million, due to the unadjusted reconciling items between the GL and bank balances contrary to the provisions of COA Circular No. 96-011 dated October 2, 1996, and Section 74 of Presidential Decree (PD) No. 1445.

   We recommended that Management instruct:

   a. The CAO –

      - Demand submission of copies of CR, DR and credit/debit card transactions from the banks in the amounts of P394,382,735, P40,419,467 and P75,540,025, respectively, for the period from CYs 2016 to 2020;

      - Henceforth, make arrangement with the depository banks to provide copies of CM and DM to the City on a monthly basis or on a more convenient frequency to properly document the recording of the items in the books of accounts;

      - Adjust the double/under/erroneous recording of the transactions noted in audit;

      - Effect the necessary adjustments as soon as differences between the bank statements and accounting records are detected for fair presentation of the balances of Cash in Bank and other related accounts; and

   b. The City Treasurer's Office to consolidate the PhilHealth remittances amounting to P287,625,403 which were received by various collecting offices of the City for the period covering CYs 2016 to 2020 and submit the same to CAO to facilitate reconciliation of the records. Moreover, stop the practice of issuing ORs for PhilHealth remittances since these are directly credited to the bank account of the City.

The aforementioned observations together with the corresponding recommendations were discussed with Management officials concerned during the exit conference on May 28, 2021. Management views and comments were incorporated in the report, where appropriate.

G. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance and Charge issued during CY 2020.

H. Status of Implementation of Prior Years' Audit Recommendations

Of the 168 audit recommendations contained in the CYs 2016 to 2019 Annual Audit Reports, 77 or 45.83 percent were fully implemented, 67 or 39.88 percent were partially implemented and 24 or 14.29 percent were not implemented during the year.